Anti-Money Laundering (AML) & Transaction Monitoring Policy

HackFest Financial Services Ltd.
Version 1.0
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1. Purpose

This Anti-Money Laundering (AML) & Transaction Monitoring Policy establishes the framework for detecting, preventing, and reporting suspicious financial activity conducted through HackFest Financial Services Ltd. accounts.

The policy defines enforceable monitoring rules applied to transactional data including:

- Timestamp
- From Bank
- From Account
- To Bank
- To Account
- Amount Paid
- Amount Received
- Payment Currency
- Receiving Currency
- Payment Format

The objective is to identify potential money laundering, structuring, fraud, and other illicit financial behavior.

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2. Scope

This policy applies to:

- All domestic and international transactions
- All supported currencies

- All payment formats including ACH, wire transfers, cheque, and credit card transactions
- All customer accounts (individual and corporate entities)

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3. Definitions

High-Value Transaction
A single transaction where Amount Paid exceeds 10,000 currency units.

Structuring
Multiple smaller transactions conducted within a short time window to avoid regulatory reporting thresholds.

Rapid Movement of Funds
Funds received and transferred out of the same account within a short period.

High-Risk Payment Format
Wire transfers and cross-bank transactions are considered higher risk than internal transfers.

Linked Account Activity
Frequent transfers between the same From Account and To Account pair.

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4. Transaction Monitoring Rules

The following rules must be automatically enforced by the monitoring system.

Rule 1: High-Value Transaction Threshold

The system must flag any transaction where:

- Amount Paid > 10,000 units (in Payment Currency)

Such transactions require review regardless of payment format.

Rule 2: Structuring Detection (Smurfing)

The system must flag any From Account that:

- Conducts 3 or more transactions
- Each transaction amount between 8,000 and 9,999 units

- Within a 24-hour rolling window

This may indicate an attempt to avoid the 10,000 reporting threshold.

Rule 3: Rapid In-and-Out Movement of Funds

The system must flag any account where:

- Funds are received (Amount Received > 5,000 units)
- And within 2 hours,
- The same account sends out ≥ 90% of that amount

This may indicate layering behavior.

Rule 4: Repeated Transfers to Same Beneficiary

The system must flag any From Account that:

- Sends 5 or more transactions
- To the same To Account
- Within 48 hours

Particularly if the cumulative amount exceeds 15,000 units.

Rule 5: Cross-Bank Large Transfers

The system must flag any transaction where:

- From Bank ≠ To Bank
- Amount Paid > 7,500 units

Cross-institution transfers carry higher laundering risk.

Rule 6: Currency Mismatch Monitoring

The system must flag any transaction where:

- Payment Currency ≠ Receiving Currency

If such transactions exceed 5,000 units, enhanced due diligence is required.

Rule 7: High-Risk Payment Formats

The system must flag transactions where:

- Payment Format = "wire"
- And Amount Paid > 5,000 units

Wire transfers above moderate thresholds require review.

Rule 8: Unusual Volume Spike

The system must flag any account where:

- Daily transaction count exceeds 3x the account's 30-day average

This indicates abnormal behavior.

Rule 9: Round-Amount Transactions

The system must flag accounts conducting:

- 4 or more transactions
- In exact round figures (e.g., 5,000 / 10,000 / 20,000)
- Within 24 hours

Repeated round amounts are common in laundering schemes.

Rule 10: Multi-Bank Fan-Out Pattern

The system must flag any From Account that:

- Sends funds to 4 or more different To Banks
- Within 24 hours
- With cumulative value exceeding 12,000 units

This may indicate dispersal layering activity.

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5. Risk Scoring

Each flagged rule contributes to a cumulative account risk score:

- Minor threshold violation: +1
- Structuring behavior: +3
- Rapid movement pattern: +4
- Multi-rule violations within 7 days: escalate to high-risk classification

Accounts exceeding a risk score of 5 must be escalated for compliance review.

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6. Investigation & Escalation

When a transaction or account is flagged:

1. A case ID must be generated.
2. The triggering rule must be documented.
3. Supporting transaction records must be attached.
4. Compliance officers must review within 48 hours.
5. If suspicious activity is confirmed, a Suspicious Activity Report (SAR) must be filed with appropriate authorities.

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7. Audit & Logging

The system must log:

- Rule triggered
- Timestamp of detection
- Account ID
- Transaction reference
- Risk score

Logs must be retained for a minimum of 5 years.

8. Policy Review

This policy shall be reviewed annually or upon regulatory changes.